

COMMON STOCK

Road	Price about	Dividend rate, %	Yield, %	Earnings per share		Fixed charges earned 1921
				1921	Average 1914-1921	
Atchison	100	6	6.00	\$14.69	\$12.89	4.00 times
Southern Pacific	90	6	6.67	7.25*	8.35*	2.13* times
New York Central	91	5	5.50	8.92	6.64	1.44 times

* Partly estimated. See text.

These figures indicate clearly the pre-eminence of Atchison from the standpoint of earning power and financial strength. As compared with New York Central, it shows a higher dividend return, larger earnings, and a much smaller proportion of bonded debt. While Southern Pacific and Atchison both pay 6% in dividends, Atchison has shown such pronounced superiority in earning power as to justify fully its ten-point higher quotation.

In addition to its remarkable record of earnings the following features in Atchison's exhibit deserve special note:

1. Its wealth of cash assets.
2. Its valuable oil properties.
3. Its low and steadily decreasing funded debt.

The record of the three companies is analyzed in greater detail in the following pages. Based upon a careful study of the available data, we submit the following conclusions:

1. That Atchison should be purchased at the present time, either as an attractive investment or for conservative speculative profit.
2. That Atchison is intrinsically more desirable than Southern Pacific, because of its substantially greater earning power.
3. That investment holdings of New York Central might well be exchanged into Atchison, in order to obtain a higher dividend yield, larger average earning power, and greater financial stability.

From the speculative standpoint, it is proper to point out that the small amount of New York Central stock, in relation to its bonded debt and gross revenues, may result in a more rapid increase in profits per share under favorable conditions. Conversely, however, a relatively small decline in net earnings can seriously reduce the balance available for the stock.